OPPORTUNITY SCAN · FOR CEO AND EXECUTIVE COMMITTEE

The Kraft Heinz Company

Where is the value versus packaged-food peers, and what would management recognise as its own agenda?

Kraft Heinz already earns the highest adjusted EBIT margin in its peer set (1 of 8) but ranks 7 of 9 on growth: the value is in returning to peer-level growth, the agenda its new CEO has already set, worth $520–759M of EBIT a year by FY28, plus $621M–$1.7B of one-off working-capital cash led by receivables.

Public sources only · As of 2026-10-19 · USD millions · Latest fiscal year FY25 · 8 peers · EBIT: adjusted operating income · 32 of 32 sources read from search extracts: verify before client use

Recurring EBIT opportunity
$520–759M
a year by FY28, from 2 sized buckets

One-off cash release
$621M–$1.7B
working capital; never added to EBIT

EBIT margin
19.0% → 19.0–19.2%
today → with the gaps closed

1 The situation

In short

1. **Profitability is not the problem.** Adjusted EBIT margin of 19.0% is top quartile (1 of 8) against a peer median of 15.3%, and SG&A at 14.7% of revenue is also top quartile.
2. **Growth is.** Revenue growth of -2.0% a year compares with a peer median of 1.7% (7 of 9). Growing at the median instead is worth $520–695M of EBIT a year by FY28, nearly all of the $520–759M prize.
3. **Cost of sales is at par.** Gross margin of 33.3% is above median; the gap to the top quartile is only up to $63.6M.
4. **Cash sits in receivables and inventory.** DSO of 33 days against a peer median of 25 days drives most of the $621M–$1.7B one-off cash; payables are already above median.

What the company is facing

- A new CEO, Steve Cahillane, took over in January 2026 and paused the planned split into two companies to put every resource behind the operating plan.[5]
- The problem is volume, not price: volume/mix drove the organic sales decline, and share losses narrowed in 2026 but have not reversed.[4]
- Non-cash impairments in 2025 and again in the second quarter of 2026 have written down the carrying value of the brand portfolio.[4]
- The shareholder base is shifting: Berkshire Hathaway registered its whole stake for possible sale, and several analysts remain cautious on the turnaround.[8]

What management says it is prioritising

Return the business to profitable growth; the split is paused so all resources go to execution

> "My No. 1 priority is returning the business to profitable growth, which will require ensuring all resources are fully focused on the execution of our operating plan."
> Steve Cahillane, CEO · 2026-02-11[5]

> "...many of our challenges are fixable and within our control."
> Steve Cahillane, CEO · 2026-02-11[5]

Reinvest behind the brands in marketing, sales, R&D, price and product superiority, stepped up after the first half

> "Building on this momentum, we are also increasing our incremental investments by $100 million, to approximately $700 million in 2026."
> Steve Cahillane, CEO · 2026-08-05[4]

> "Yeah, you should think about 2026 being the year where we got our base right."
> Steve Cahillane, CEO · 2026-08-05[7]

Make the brands relevant again, using Canada, the UK and Emerging Markets as blueprints

> "Instead, we need to make these brands relevant for today."
> Steve Cahillane, CEO · Feb 2026 (CAGNY)[6]

> Canada, the UK and Emerging Markets are the 'tangible, repeatable blueprints' for rebuilding volume and share; Emerging Markets, about 11% of the business, grew organic sales 13% in 2025.
> SUMMARY Steve Cahillane, CEO · Feb 2026 (CAGNY)[6]

Fund the reinvestment from productivity

> Marketing rises to about 5.5% of net sales in 2026 from 4.9% in 2025, and R&D by about 20%; the plan relies on continuing to unlock efficiencies, with more than $2.5 billion of gross efficiencies targeted by the end of 2026.
> SUMMARY Andre Maciel, CFO · Feb 2026 (CAGNY)[6]

Outside view: analysts and industry

> Berkshire Hathaway registered its entire stake (about 27.5%) for possible sale; the shares fell as much as 7.5% that day.
> SUMMARY Market news · 2026-01-21[8]

> Underweight since January; target cut again in February, citing limited visibility into a sustained turnaround.
> SUMMARY Morgan Stanley, as reported · Feb 2026[9]

> TD Cowen expects big-food organic sales growth of about 1.5% in 2026, below the 2% consensus; CFRA names GLP-1 adoption, policy scrutiny and SNAP restrictions as headwinds.
> SUMMARY TD Cowen and CFRA, as reported · 2026-02-17[10]

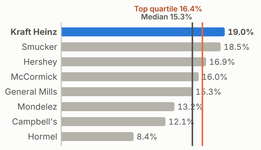
> Shares slipped after the Q2 beat as investors focused on soft consumption and heavy reinvestment.
> SUMMARY Market reaction, as reported · 2026-08-05[7]

2 Performance against peers

Peer set

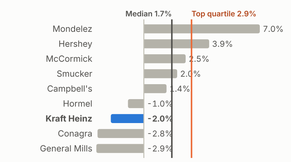
Company	Revenue	FY	Why it is a peer
The Kraft Heinz Company EBIT = Adjusted Operating Income; reported operating loss reflects impairments	**$24.9B**	**FY25**	Target
General Mills	$18.4B	FY26	US branded cereal, snacks and meals; same retail customers and categories
Conagra Brands Full-year adjusted operating profit in $ not found; payables include other payables	$11.3B	FY26	Closest US grocery overlap: frozen, shelf-stable meals, condiments and snacks
The Campbell's Company EBIT = Adjusted EBIT; growth includes the Sovos acquisition	$9.7B	FY26	US soups, sauces and snacks; overlapping meals and sauces portfolio
Mondelez International Cost of sales includes commodity mark-to-market losses	$38.5B	FY25	Global branded snacks of similar scale with emerging-market exposure
The Hershey Company Cost of sales includes commodity mark-to-market losses	$11.7B	FY25	US branded confectionery and salty snacks; same retail customers
The J.M. Smucker Company Adjusted operating income excludes amortization; growth includes Hostess	$9.1B	FY26	US coffee, spreads, pet food and baked snacks; same retail customers
McCormick & Company	$6.8B	FY25	Spices, flavours and condiments: overlaps the Heinz taste portfolio
Hormel Foods Protein processor: structurally lower gross margin	$12.1B	FY25	Packaged meats and shelf-stable brands; overlaps Oscar Mayer and nuts

EBIT margin top quartile · 1 of 8
higher is better · latest FY each (FY25 to FY26) · sorted best to worst

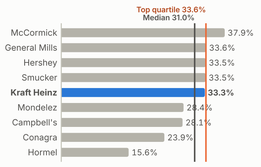


n/a: Conagra (full-year adjusted operating profit in $ not found in any reachable source (release gives only the margin); Conagra shows no operating income line)

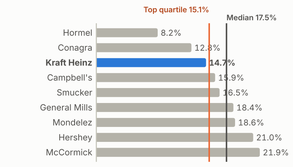
Revenue growth (CAGR) bottom quartile · 7 of 9
higher is better · latest FY each (FY22–FY25 to FY23–FY26) · sorted best to worst



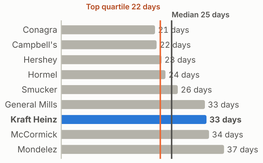
Gross margin above median · 5 of 9
higher is better · latest FY each (FY25 to FY26) · sorted best to worst



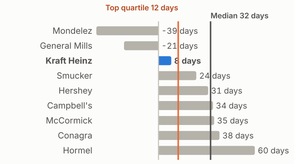
SG&A as % of revenue top quartile · 3 of 9
lower is better · latest FY each (FY25 to FY26) · sorted best to worst



Days sales outstanding bottom quartile · 7 of 9
lower is better · latest FY each (FY25 to FY26) · sorted best to worst



Cash conversion cycle top quartile · 3 of 9
lower is better · latest FY each (FY25 to FY26) · sorted best to worst



Data table

	Growth	Gross margin	SG&A %	EBIT margin	DSO	DIO	DPO	
Kraft Heinz	**-2.0%**	**33.3%**	**14.7%**	**19.0%**	**33 days**	**69 days**	**95 days**	
General Mills	-2.9%	33.6%	18.4%	15.3%	33 days	57 days	111 days	
Conagra	-2.8%	23.9%	12.8%	n/a	21 days	81 days	64 days	
Campbell's	1.4%	28.1%	15.9%	12.1%	22 days	84 days	72 days	
Mondelez	7.0%	28.4%	18.6%	13.2%	37 days	58 days	134 days	
Hershey	3.9%	33.5%	21.0%	16.9%	23 days	67 days	59 days	
Smucker	2.0%	33.5%	16.5%	18.5%	26 days	68 days	71 days	
McCormick	2.5%	37.9%	21.9%	16.0%	34 days	109 days	108 days	
Hormel	-1.0%	15.6%	8.2%	8.4%	24 days	62 days	26 days	
Peer median	**1.7%**	**31.0%**	**17.5%**	**15.3%**	**25 days**	**68 days**	**72 days**	

3 Case for change

1 Growth, not margin, is the gap

Growth: bottom quartile · RECOMMENDED LEAD

Growth	EBIT margin
-2.0%	**19.0%**
median 1.7% · top quartile 2.9%	median 15.3% · top quartile 16.4%

Kraft Heinz ranks 1 of 8 on adjusted EBIT margin but 7 of 9 on growth, 3.7 pp a year below the peer median. Growing at the median to FY28 adds $520–695M of EBIT at today's margin: the payoff that the CEO's profitable-growth priority and the step-up in brand investment are meant to buy.

See quote from Steve Cahillane, CEO, 2026-02-11[5]

Client readiness: high Restates the CEO's stated No. 1 priority and puts a peer-based size on it; the debate is pace and proof, not direction.

2 Lean overhead is room to reinvest, not a cost target

SG&A %: top quartile

SG&A %	EBIT margin
14.7%	**19.0%**
median 17.5% · top quartile 15.1%	median 15.3% · top quartile 16.4%

SG&A at 14.7% of revenue is top quartile (3 of 9; median 17.5%), so there is no overhead case to make. The marketing and R&D step-up starts from a lean base rather than from excess overhead.

See quote from Andre Maciel, CFO, Feb 2026 (CAGNY)[6]

Client readiness: high Agrees with the reinvestment management has announced; a cost-cutting pitch would run against it.

3 Cost of sales is at par; productivity is funding, not a gap

Gross margin: above median

Gross margin
33.3%
median 31.0% · top quartile 33.6%

Gross margin of 33.3% is above median (median 31.0%, top quartile 33.6%), worth at most up to $63.6M at peer levels. The efficiency programme matters as the source of funds for reinvestment rather than as a gap to close.

Client readiness: moderate Management already runs an efficiency programme; peer benchmarks cannot show where further savings sit, and cocoa and hedging distort two peers' margins.

4 Receivables hold one-off cash; payables are already stretched

DSO: bottom quartile

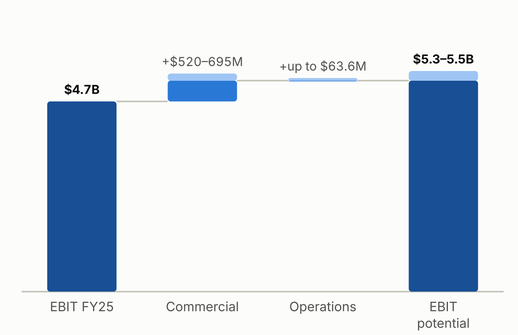
DSO	DIO	DPO
33 days	**69 days**	**95 days**
median 25 days · top quartile 22 days	median 68 days · top quartile 61 days	median 72 days · top quartile 109 days

DSO of 33 days is bottom quartile against a peer median of 25 days, and inventory runs 69 days against 68 days. Payables are already above median at 95 days, so the credible part of the $621M–$1.7B range is receivables and inventory.

Client readiness: moderate Not on management's public agenda, but cash that would help fund reinvestment; customer terms and any receivable-sale programmes need checking first.

4 Size of prize

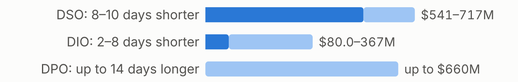
EBIT bridge to FY28



EBIT margin 19.0% → **19.0–19.2%**

Bucket and gap to peers	Baseline	Opportunity	As %
Commercial: revenue growth +3.7 pp a year to median · +4.8 pp to top quartile	$24.9B Revenue, FY25	**$520–695M**	11.6–15.6% more revenue +$2.7–3.7B sales in FY28
Operations: cost of sales above median · +0.3 pp to top quartile above the peer median; the range is the gap to the top quartile only	$16.6B Cost of sales, FY25	**up to $63.6M**	0.0–0.4% of cost of sales 0–25 bps of margin
SG&A efficiency already top quartile on SG&A %	$3.7B SG&A, FY25	—	
Recurring EBIT, sum of the rows above		**$520–759M**	

One-off cash: working capital $621M–$1.7B



Why the value is real

Commercial: revenue growth
Peer growth is reported, not organic: Campbell's and Smucker's include acquisitions and Mondelez includes emerging-market pricing, while General Mills and Conagra are held back by divestitures. Sector growth is expected to stay low, so treat the top-quartile end as a stretch.
See quote from TD Cowen and CFRA, as reported, 2026-02-17[10]

Operations: cost of sales
Kraft Heinz is already above the peer median, so the range is the gap to the top quartile only. Mondelez and Hershey margins are depressed by cocoa and hedging, Hormel's by its protein mix.

Working capital
Receivables are the cleanest lever, with Kraft Heinz in the bottom quartile on DSO. The payables leg assumes stretching terms further on top of supplier-finance programmes already in place, so the low end is the more credible figure.

Questions to test with management

- Restate the growth gap on organic sales, removing acquisitions, divestitures, 53rd weeks and hyperinflation pricing, before using the top-quartile end.
- Track whether the reinvestment is turning volume and share by category and channel on the path to FY28.
- Compare customer terms, any receivable-sale programmes and inventory days by category with peers to firm up the cash range.
- Ask how the impairments and the paused split shape portfolio choices: which brands to fix, fund or exit.

5 Method and sources

- Every figure comes from a public filing, results release or investor presentation, listed below. Nothing is estimated to fill a gap: a missing value shows as n/a with its reason.
- Benchmarks are the median and top quartile of the peers that report the metric; the target is never in its own benchmark. Top quartile follows the metric's direction.
- EBIT is each company's own adjusted operating income, from its non-GAAP reconciliation; definitions differ and are noted where they matter. Gross margin is revenue less cost of sales. SG&A is benchmarked as one combined line, because peers split it differently.
- Sizing closes the gap to the peer median (low) and the top quartile (high), on the latest year's revenue. Growth (reported revenue CAGR) compounds for 3 years to FY28 and converts to EBIT at the stated margin. Cash is one-off and never added to EBIT.
- Totals are the sum of the rows shown. This is a sniff test of where value may sit, not a commitment: it has no practitioner experience, case examples or management data behind it.

Limitations

- **EBIT is each company's own adjusted operating income** from its non-GAAP reconciliation, because impairments distort reported figures (Kraft Heinz reports an operating loss). Definitions differ; Smucker's excludes amortization, which flatters its margin.
- Conagra publishes an adjusted operating margin but no dollar figure in the sources reachable here, and has no operating-income line, so it is n/a on EBIT margin.
- Growth is reported, not organic, over each company's latest three fiscal years, so windows differ; Kraft Heinz's base year and General Mills' and Conagra's latest years include a 53rd week.
- Mondelez and Hershey cost of sales include commodity mark-to-market losses in a record cocoa year; Hormel is a protein processor with a structurally lower gross margin. Kraft Heinz and McCormick hold supplier-finance balances inside trade payables; Conagra's payables line includes other payables.
- Source pages could not be opened directly in this build: figures and quotes come from search extracts of the cited filings, releases and reports, cross-checked where possible. Verify against the documents before client use.
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Sources

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PUBLIC-DATA TEASER

Refer to dev.opcat-nonprod.bain.io for the full Opportunity Catalyst experience.

This poster shows where value may sit, from public data. Opportunity Catalyst adds Bain experience behind every lever, numbers you can change in the room, and a source behind every figure.

	THIS SCAN	OPPORTUNITY CATALYST
Benchmarks	Peer median and top quartile	Plus Bain experience ranges by lever
Data	Public filings, as reported	The case team's data, source-labelled, adjusted EBIT
Changes	Edit a file and rebuild	Change peers, levers and assumptions live; undo any change
Traceability	A numbered source list	Drill any number to its formula, inputs, peers and adjustments

OPPORTUNITY CATALYST
dev.opcat-nonprod.bain.io

WHAT THE FULL VERSION ADDS
claude.ai/artifact/JV1cYypSyve1ZjEp5vSkDe